



- ☒ No fixed dividend obligation
- ☐ No dilution of control

- ☐ Low risk
- ☐ Tax deductible dividend

That's correct!

Question 4

1 / 1 pts

If growth rate increases (other factors constant), share price:

- ☒ Increases
- ☐ Remains same
- ☐ Becomes zero
- ☐ Decreases

That's correct!

Question 5

1 / 1 pts

Price Earnings (P/E) ratio equals:

- ☐ Profit / Capital
- ☐ EPS / Market price
- ☒ Market price / EPS
- ☐ Dividend / Price

That's correct!

Question 6

1 / 1 pts

Which valuation model assumes no growth?

- ☐ Bond model
- ☐ Constant-growth model
- ☐ CAPM
- ☒ Zero-growth model

That's correct!

Question 7

1 / 1 pts

Dividend paid to equity shareholders is:

- ☒ Residual
- ☐ Fixed
- ☐ Tax deductible
- ☐ Mandatory

That's correct!

Question 8

1 / 1 pts

Book value per share is calculated using:

- ☒ Net assets / Number of shares

Dividend / Number of shares

☐ Dividend / Shares

☐ Market price

☐ $\text{EPS} \times \text{Shares}$

That's correct!

Question 9

1 / 1 pts

Stock valuation refers to:

☐ Calculating face value

☒ Determining intrinsic value of shares

☐ Determining dividend only

☐ Calculating book value only

That's correct!

Question 10

1 / 1 pts

Participating preference shares:

☐ Have voting rights

☐ Do not receive dividend

☐ Are bonds

☒ Receive extra dividend in surplus profits

That's correct!

Question 11

1 / 1 pts

Preference shareholders receive:

☐ Variable dividend

☐ Residual profit

☐ No dividend

☒ Fixed dividend

That's correct!

Question 12

1 / 1 pts

Retained earnings benefit equity shareholders by:

☒ Increasing long-term growth

☐ Increasing debt

☐ Reducing profit

☐ Reducing share value

That's correct!

Question 13

1 / 1 pts

Equity shareholders are:

- ☐ Debenture holders
- ☐ Creditors
- ☐ Employees
- ☒ Owners of the company

Correct!

That's correct!

Question 14

1 / 1 pts

Face value of a share is also called:

- ☐ Dividend value
- ☐ Intrinsic value
- ☒ Par value
- ☐ Market price

Correct!

That's correct!

Question 15

1 / 1 pts

Earnings Per Share (EPS) measures:

- ☐ Market price
- ☒ Profit per share
- ☐ Dividend paid
- ☐ Face value

Correct!

That's correct!

Question 16

1 / 1 pts

Which is NOT a feature of equity shares?

- ☐ Voting rights
- ☐ Ownership rights
- ☒ Fixed return
- ☐ Residual claim

Correct!

That's correct!

Question 17

1 / 1 pts

Redeemable preference shares:

- ☐ Converted into bonds
- ☒ Repaid after fixed period
- ☐ Have no dividend
- ☐ Cannot be repaid

Correct!

That's correct!

Question 18

1 / 1 pts

Stock valuation is based on which financial principle?

- ☐ Matching concept
- ☐ Consistency concept
- ☐ Prudence concept
- ☒ Time Value of Money

Correct!

That's correct!

Question 19

1 / 1 pts

Risk of equity shares is:

- ☐ Lower than debt
- ☒ Higher than debt
- ☐ Fixed
- ☐ Zero

Correct!

That's correct!

Question 20

1 / 1 pts

Intrinsic value of a share depends on:

- ☒ Present value of future dividends
- ☐ Face value
- ☐ Government rules
- ☐ Historical cost

Correct!

That's correct!

Quiz Score: 20 out of 20

◀ Previous

Next ▶